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FOREWORD

This booklet contains reports written by Examiners on the work of candidates in certain papers. **Its contents are primarily for the information of the subject teachers concerned**.

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BUSINESS STUDIES

GCE Ordinary Level

Paper 7115/01

Paper 1

General comments

The general standard of scripts was similar to previous years. The Paper differentiated effectively across the full ability range. All questions were accessible to candidates although some inevitably proved more challenging. The questions which candidates found most difficult were **1 (d)(ii)**, **2 (b)(ii)**, **2 (d)**, **3 (c)**, **4 (b)**, and **5 (a)(iii)**. Candidates might find the following points helpful in improving their performance.

- If a question asks for an explanation then a simple list of points is insufficient.
- Some questions require examples to be given. Try and give greater thought to what constitutes an appropriate example. Can the candidate justify their illustration?
- Read the key command word in the question carefully. Thus some questions ask candidates to consider "to what extent do they agree with a statement". This type of question requires some judgement to be exercised. The candidate is being asked to express a justified opinion. They should attempt to come to a conclusion.
- The key to high marks is to demonstrate a range of skills. Many candidates show knowledge but their answers are often less impressive in terms of demonstrating understanding, analysis and evaluation.

Comments on specific questions

Question 1

(a) Although generally well answered, a number of candidates gave examples of products rather than activities (e.g. coal as an example of a primary activity).

(b) The most common error here was to suggest that a partnership provided limited liability for its members. Sometimes an advantage was identified but not explained.

(c) Widely known and well answered.

(d)(i) Many candidates were unclear as to the real purpose of an A.G.M. It is a means of two way communication between management and shareholders. It is not the basis upon which detailed plans are determined or lower level managers appointed.

(ii) This question proved challenging. Most candidates were able to demonstrate knowledge regarding the data that would be contained in the accounts of a business. However few were able to consider what an analysis of the accounts might reveal in terms of things like liquidity, financial structure or profitability.

(e) Candidates' understanding of profits is often rather superficial. Profits are the reward for risk taking. As such they are a necessary return to encourage shareholders to retain their investment and to encourage new investors. In the long term they are needed to ensure the survival of a business.

Question 2

(a) The concept of a market segment was known to most candidates. However, weaker candidates often found it difficult to apply their knowledge to a particular product.

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(b) This question differentiated very effectively. Candidates were generally able to define but found the concept of cost effectiveness difficult. The Examiners were expecting reference to things like poorly targeted spending that failed to attract much by way of customers.

(c) A disappointing number of answers to this question discussed tourists not business guests. Thus their suggested methods were not really appropriate. Careful reading of questions always pays dividends.

(d) Good answers mentioned the advantages of charging lower prices and then went on to consider alternative ways of competing. Weaker answers tended to give a one-sided view of the dilemma.

(e) Most candidates were able to identify at least two functions of packaging. There was a tendency sometimes to state the same advantage in two ways. Candidates would be better advised to try and identify clearly different functions like protection and promotion.

Question 3

(a) This was a high scoring question for many candidates. Most were able to identify three examples of current assets such as cash, debtors and stock.

(b) This question caused surprising difficulty particularly as regards the concept of revenue. The Examiners were expecting a simple statement such as income received as a result of sales generated, while profit might be considered to be the surplus left after all allocated costs have been deducted from revenue.

(c) To gain full marks candidates needed to progress through three stages. They had to identify appropriate ratios such as profit/capital. Then they had to use the data to calculate a ratio (Company A 20% and Company B 25%). Then they were required to comment on their answer. A number of weaker answers referred to absolute values and made no use of ratio analysis at all.

(d) Although the concept of economies of scale is well known, the most common error is to refer to a fall in costs rather than unit costs as the scale of activity increases. Again, examples provided were not always appropriate.

(e) Many good answers made reference to circumstances such as dated stock, loss leader strategies and the need to generate instant cash.

Question 4

(a) There was a tendency for answers to refer to higher productivity/profits. Few referred to factors like local labour market conditions.

(b) Better answers were able to consider that in the short run low wages would mean low costs and hence larger profits, while in the longer run there might be problems of recruitment/retention of staff and hence higher costs and lower profits.

(c) This was a high scoring question with most candidates able to provide examples of fringe benefits and have an appreciation of why they are given.

(d) Most candidates were able to identify the span of control of manager M (4 or P1 to P4). However, the focus of the second part of the answer was often wrong. Too many candidates considered the issue purely from the point of view of the company, not from the standpoint of the individual manager N. There was also some misinterpretation over what the chart really represented. Thus some candidates felt that manager N could delegate a large amount of work. This does not follow from having a wide span of control. There was also a lack of clarity in some answers as to whether a point was an advantage or a disadvantage.

Question 5

(a)(i) There was a tendency for candidates to lists points here. Candidates found it more difficult to identify benefits than costs. Such a proposal (road development scheme) would produce short run

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employment benefits in terms of direct employment. It would also have a positive [illegible] area in terms of improvement in accessibility and thus there would be more customers [illegible] etc. and firms would be attracted to the area.

(ii)(iii) Virtually all candidates were able to explain what is meant by a multinational company. However part **(iii)** answers often showed considerable prejudice and assumed that such companies always overpriced their services and exploited their employees. The expected answers should have concentrated on the possible remoteness of the top management of the company and hence they might not understand local feelings. Also the repatriation of profits is clearly a potential problem associated with multinationals.

(b) Too many answers here failed to focus on the export market specifically. Thus their points would have been equally valid domestically. Often when candidates did refer to things like tariff barriers they failed to develop their answer to explain why these would present problems.

Paper 7115/02

Paper 2

General comments

The general standard of scripts was similar to last year. Candidates were able to understand the context of the case study and hence were able to appreciate the relevance of the questions. All questions proved accessible to most of the candidates while at the same time offering effective discrimination across the full ability range. Candidates might find the following helpful in improving their performance.

- In a case study paper answers should usually be in the context of the case.
- The case study should provide information that will help you with your answers and thus candidates should read it very carefully.
- The questions with the higher mark allocations will always require candidates to display a range of attainment skills. Answers must show a developed logical theme applied to the case study. Thus if the question asks for advice to be given to the manager of the business then such advice needs to be stated, explained and justified.
- In calculation questions candidates should show all their workings, as well as their final answer.

Comments on specific questions

Question 1

The Paper always begins by asking for explanation of terms used in the case. The marks are allocated in relation to knowledge (1 mark) and developed understanding in context (2–3 marks). Candidates generally showed a good level of appreciation of the four terms.

(a) This was the least well answered part of the question. Many answers referred to profits and defined these and ignored the margin element. A profit margin is usually the profit expressed as a % of sales turnover. It is a measure of the profitability of sales. If the profit margin is low (as in the case study) then it implies that mark up on costs is small.

(b) A creditor is a person or organisation to whom the business owes money. In this context they would probably represent suppliers of materials.

(c) A bonus represents a financial reward over and above contractual pay, usually in response for good performance. In this context it would imply additional payment for the workforce as a result of exceeding production targets.

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(d) Training was a concept that was very well known and there were many excellent answers to this question. The concept implies imparting extra skills to a workforce to allow them to perform a greater range of tasks or to enable them to perform existing tasks more efficiently.

Question 2

The case suggested some possible reasons for the fall in sales. The market was becoming more competitive, numbers of visitors to the country could be falling, the products produced by the company may no longer be as fashionable. Candidates had to identify possible reasons (knowledge) and develop them (understanding/application).

Question 3

The focus of the answer here should have been on marketing strategies that could deal with the problem of falling sales. Better answers discussed options such as advertising/promotions or broadening the range of products, hence appealing to new markets. Some candidates seemed to suggest that the fall in sales was a production problem. There was no evidence in the case study that specifically supported this line of thought.

Question 4

(a)(i) In 2000 the output per worker per shift was 1.5. A year later it was 1. Hence there was a fall in labour productivity of 0.5. Method marks were available for candidates who showed some understanding of the concept of output per worker.

(ii) The wage cost per suit in 2000 was $53.3 and in 2001 was $80. This was calculated by wage bill/output per shift.

Better candidates gained full marks on these calculations. Some weaker candidates were not able to make a meaningful attempt.

(b) Candidates had to demonstrate an understanding of the link between wage costs and unit costs and to show how a rise in unit costs would have an impact on the business. High level answers would also make evaluative comments discussing the likely consequences of this impact. Put simply, a rise in unit labour costs implied an increase in unit costs and hence an adverse impact on competitiveness/profit margins. This would be unwelcome news for the business as it was operating in an increasingly competitive market.

Question 5

(a) Most candidates were aware of the nature of cash flow problems. They were generally able to refer to the fact that sales were falling and hence cash in to the business would be down. They also were able to refer to the fact that costs might be rising or at least static and hence the problems. Weaker candidates tended to just repeat the information given in the case without any comment.

(b) Better candidates were able to identify and explain two ways of dealing with the problem. Weaker candidates could sometimes identify a method but found it difficult to explain how it would actually help the situation.

Question 6

(a) This question was well answered. Most candidates were able to identify problems associated with high labour turnover. The usual ones given were training costs and an impact on output.

(b) Most answers here focused on motivational methods of a financial or non-financial nature. There were many excellent answers given showing high levels of knowledge and understanding.

Question 7

This proved a challenging question. Many answers mentioned factors like the price offered and whether it properly covered the worth of the business. Some made reference to things like goodwill but often failed to explain its relevance. A number of answers showed a touching belief that the owner's decision should be influenced by the views of the workforce. Some candidates were suspicious of the offer thinking that the prospective buyer must know something that the owner did not! The Examiners were looking for an answer

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that recognised a range of financial and personal factors that would need to be considered. [illegible] encompass things like the terms of the offer compared to the current profitability of the business [illegible] prospects), the balance sheet worth of the business and personal factors such as her age/new role/ new business/family considerations.